ADDITIONAL INFORMATION

Interview with the division sales manager:

Appliances

Our sales policies are clear and strict, and all employees must conform to the highest standards. We motivate our sales personnel to perform. Various strategies are in place, among others, using discounts, bundle products and similar. The results are very positive, and we have seen the number of products sold increase rapidly.

In order to attract customers, we offered gifts:

- Every person who bought a major kitchen appliance was given a personal care appliance as a gift. 3,100 electric toothbrushes were given away. These gifts were recorded with zero cost of sales since they were gifts.

For every washing machine and clothes dryer, we offered a ceiling fan at half price which is the way we recorded this in inventories too i.e. half off.

Air conditioners are not as popular anymore, so we offered big discounts and are proud that we sold a lot of this item at $100.00 a piece.

Pressure Cookers are hot this season and we sold 85% of the total units sold at $380.00 a piece[1].

During the End of Season Sale, 50% off all the items eligible for the campaign were sold under the campaign conditions.

[1] The elevated price was not recorded in the central system

Slogan for the Marketing Campaign – Appliances![2]

End of Season Sale!

Package deal: For ALL items within the price range >$360.00 and <$500.00 get 20% off and get 15% off robot vacuum cleaner! Until stock lasts!

Interview with the division sales manager:

IT

We are pushing for higher sales, and we were motivating the employees by giving away desktops to every employee. This was recorded as cost of sales at wholesale price since we believe this to be part of the compensation.

Interview with the division sales manager:

Small Gadgets

We experienced a total boom in the demand for smartwatches. We added an additional 20% mark up for this product. I don't think we reported this increase in the central register.

[2] The Management requested an extra $30.00 voucher per second item be offered to attract more customers.

Other relevant information.

In 2025 there were no capital investments.

The Government introduced special loan arrangements for retailers, offering attractive amounts at zero cost.

The interest on company's loans is 5.6%.

Corporate tax rate equals the federal tax rate.

Average Annual Salary:

- Appliances: $30,000.00
- IT: $40,000.00
- Small Gadgets: $35,000.00

Every item in all stores is tagged with a bar code and is automatically taken off the inventory once it leaves the store.

80% of the air conditioners were sold at a discount price.